

Coca-Cola

4Q23 Sales Beat, with “Caffeinated” 2024 Sales Outlook

The Coca-Cola Company (KO, Overweight-rated) reported 4Q23 comparable EPS of \$0.49, which was a penny above JPMe and in line with consensus and beat the implied company guidance of \$0.45-\$0.48. Upside vs. our estimates was driven by stronger sales with OSG of +12% (concentrate shipment basis) or +11% based on unit volumes. Headline OSG came in 240bps/280bps ahead of JPMe/Consensus Metrix (CM) +9.6%/+9.2% and implied company guidance about +6-10%, driven by price/mix +9% (vs. JPMe/CM +6.5%/+6.2%) and concentrate shipments +3% (vs. JPMe/CM +3.1%/+3.0%). Unit case volume growth of +2% came in line with JPMe/CM +2.1%/+2.1% (as such, OSG using unit case volume of +11% compares with JPMe/CM +8.6%/+8.3%). Consolidated unit case volume 4Y CAGR of +1.7% which compares with 2023 overall +1.9%. Gross margins of 57.8% expanded 138 bps YOY and came in ~70bps ahead of JPMe and 40bps above Consensus. The company reinvested some of the GM upside into SG&A which was broadly anticipated. EBIT margins came in line with our estimates and Street - details below.

KO introduced 2024 guidance for OSG +6-7% which beat JPMe/CM +5.9%/+6.3% into the print and comparable EPS growth of +4-5% (vs. JPMe/consensus +4.4%/+4.7% ahead of today), or about \$2.80-\$2.82 (vs. JPMe/consensus \$2.80/\$2.81 into the print). From an FX perspective, KO now expects a headwind of -2% to -3% to the top-line (vs. -LSD% previously and JPMe/CM -1.4%/-2.0% into the print) and to EPS of -4% and -5% (vs. -MSD% previously). KO also expects a -4% to -5% headwind to the top line from divestitures. Other elements of guidance include a 19.2% effective tax rate and \$9.2B free cash flow based on \$11.4B cash flow from operations and \$2.2B capex. For Q124, FX is expected to be a 4% headwind to top line, added to -2% impact from M&A and structural changes and the impacts on EPS will be -8% and -1% respectively. The first quarter has one less day vs. same period last year. See Table 1 for full guidance details.

- **Expected Stock Reaction: Positive.** While the broad strokes of the quarter played out largely as we previewed ([here](#)), we think the stronger than anticipated OSG for 2024 should give investor confidence on momentum into the new year and beyond. While the company deferred on providing volume commentary in its 2024 guidance in its press release, we expect this topic to be asked/discussed on the earnings call, and that CEO Quincey will reiterate the view of “significant headroom to both volume and value” growth ahead given the strong pipeline of innovation, improved bottlers execution and RGM initiatives. We also expect some color on the U.S. negative OSG performance in the quarter (albeit the U.S. represents only ~20% of KO’s volumes) and what is embedded in its 2024 guidance, as well as other key regions of the world (LatAm, Europe, China, and India). We also expect update on timing of the tax litigation.
- **Conference Call Details:** 8:30 AM ET; Dial-in: +1 (888) 415-4465 (U.S.)/+1

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Overweight

KO, KO US

Price (12 Feb 24):\$59.70

Beverage, Household & Personal Care Products

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Table 1: KO's 2024 Guidance

Item	Current Guidance	JPM	Consensus
FY24			
EPS			
Growth	+4-5%	4.4%	4.7%
Implied Range	~\$2.80-\$2.82	\$2.80	\$2.81
Currency Impact	-4% to -5%		
Structural, Acquisitions, Divestitures	-2%		
Sales Growth			
Organic Growth	+6-7%	5.9%	6.3%
Currency Impact	-2% to -3%	-1.4%	-2.0%
Structural, Acquisitions, Divestitures	-4% to -5%	0.0%	-1.5%
Other Items			
Underlying Tax Rate	19.2%	19.5%	19.4%
Cash flow from operations	\$11.4B	\$12.9B	\$12.5B
Net Capex	\$2.2B	\$2.0B	\$1.9B
FCF	\$9.2B	\$10.9B	\$10.7B
1Q24 Phasing Items			
Currency Impact			
Sales	-4%	-1.7%	-2.9%
EPS	-8%		
Structural, Acquisitions, Divestitures			
Sales	-2%	0.0%	-1.5%
EPS	-1%		

Source: Company reports, Bloomberg Finance L.P., Consensus Metrix and J.P. Morgan estimates.

Table 2: KO 4Q23 vs. JPM and Consensus

\$ m, except per share values

4Q23				
Income Statement	JPM	Consensus	Actual	Upside/Downside vs. JPM (%)
Net Sales	10,645	10,649	10,948	2.8%
Gross Profit	6,084	6,089	6,331	4.1%
Operating Income	2,465	2,467	2,532	2.7%
Interest, Net	131		152	15.9%
Net Income	2,088	2,111	2,130	2.0%
Shares Outstanding	4,342		4,330	-0.3%
EPS	\$0.48	\$0.49	\$0.49	2.3%
EBITDA	2,764	2,852	2,803	1.4%
Income Statement	JPM	Consensus	Actual	Upside/Downside vs. JPM (%)
Sales Growth	4.4%	4.5%	7.4%	297
Gross Margin	57.1%	57.2%	57.8%	68
SG&A Margin	34.0%	34.0%	34.7%	71
Operating Profit Margin	23.2%	23.2%	23.1%	-3
Tax Rate	19.3%		19.1%	-20

Source: Company reports, Bloomberg Finance L.P. and J.P. Morgan estimates.

Table 3: KO Organic Revenue* Performance by Division

4Q23	+/-/=				
Organic Sales	Actual	JPMc	Consensus	vs. JPMc	vs. Cons
Total Company	11.0%	8.6%	8.3%	237	270
Unit Case Volume	2.0%	2.1%	2.1%	(15)	(10)
Price/Mix	9.0%	6.5%	6.2%	251	280
EMEA	25.0%	11.0%	14.4%	1400	1060
Unit Case Volume	1.0%	0.0%	1.3%	100	(30)
Price/Mix	24.0%	11.0%	13.1%	1300	1090
Latin America	18.0%	17.5%	15.0%	50	300
Unit Case Volume	4.0%	5.5%	4.1%	(150)	(10)
Price/Mix	14.0%	12.0%	10.9%	200	310
North America	7.0%	3.5%	3.6%	350	340
Unit Case Volume	-1.0%	-0.5%	0.1%	(50)	(110)
Price/Mix	8.0%	4.0%	3.5%	400	450
Asia-Pacific	12.0%	9.0%	4.4%	300	760
Unit Case Volume	2.0%	3.0%	1.5%	(100)	50
Price/Mix	10.0%	6.0%	2.9%	400	710
Global Ventures	2.0%	7.0%	6.2%	(500)	(420)
Unit Case Volume	-1.0%	2.0%	2.5%	(300)	(350)
Price/Mix	3.0%	5.0%	3.7%	(200)	(70)
BIG	6.0%	8.0%	8.3%	(200)	(230)
Unit Case Volume	-1.0%	4.0%	3.6%	(500)	(460)
Price/Mix	7.0%	4.0%	4.7%	300	230

Source: Company reports, Consensus Metrix and J.P. Morgan estimates. *Organic Revenue based on unit case volume (rather than concentrate sales) and price/mix

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Coca-Cola (KO, KO US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Oct 03, 2011. All share prices are as of market close on the previous business day.

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